AML Pattern Analysis SOP (test fixture)

4.1 Structuring (smurfing)

What it looks like: many cash deposits or transfers kept just below reporting or monitoring thresholds, often on consecutive days or at different branches.

Red flags: amounts repeatedly just under a threshold; several people depositing into one account; customer asks about reporting limits.

Checks: total value over 7 and 30 days; number of depositors and branches; whether the customer's business explains the cash.

5.1 Money mule account

What it looks like: an account receives many small or medium credits from unrelated individuals and quickly sends the money onward.

Red flags: young, student or unemployed customer; many first-time remitters; funds moved out by UPI, IMPS or to crypto within minutes; same device or IP used by other accounts.

Checks: customer age and occupation; number of unique remitters; device, IP and phone links to other customers; fraud complaints against the account.

Continued guidance for money mule cases: confirm with the customer whether they know the remitters, and record the answer in the case file before deciding to close or escalate.

12. Escalation, closure and STR decision rules

Escalate from L1 to L2 when no clear explanation exists or it is not supported by evidence; two or more patterns appear together; or there are fraud complaints or law enforcement requests on the account.